Anti-Bribery & Corruption Policy

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DOCUMENT INFORMATION:

Document Name:	Anti-Bribery & Corruption Policy
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Version number:	2
Issue Date:	May 29, 2025

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I. Introduction

Like any other financial institution around the world, the Bank recognizes the risk of having its employees and associated persons infiltrated by corrupt persons that can jeopardize the bank's compliance with laws and regulations, and that may lead to considerable financial losses and reputational damage.

A sound Anti-Bribery & Corruption (ABC) policy is crucial for building a compliance culture based on international and best market practice standards, making it more difficult for corruption to thrive undetected and unpunished. It also protects the Bank from being used as a conduit for such unethical and unlawful activities. The ABC policy develops a path to ensure all Bank's staff and associated persons comply with the relevant policies and conduct their functions with integrity, and in line with high behavioral standards.

This policy shall cascade into procedures with the intent of identifying, monitoring, assessing and mitigating bribery and corruption risks within the Bank's working place, encompassing its employees – both permanent and temporary, and business associates. This shall be done, across the head office, branches and subsidiaries, where collaborative efforts and robust information sharing is required, and within permissible local law guidelines in subsidiaries.

II. Purpose

Corruption involves the dishonest behavior of persons in charge, or the misuse of entrusted power for private gain. Corruption includes but is not limited to acts of bribery, fraudulent transactions, diversion of funds and various forms of improper business practices leading to personal benefits.

Bribery is one of the main tools of corruption and may occur in order to obtain, retain or direct business, or to secure any other improper advantage in the conduct of business. Anything of value can be considered a bribe, including a gift or favor, such as an offer of employment to relatives of the person being bribed.

A bribe refers to any inducement, reward, or object/item of value offered to another individual in order to gain commercial, contractual, regulatory, or personal advantage. Bribing another person will induce that other person to improperly, perform a function or an activity; likewise, being bribed is to request, agree to receive, or accept a financial or other advantage with the intention to perform in return, a relevant function or activity improperly. Bribes can be received directly or through indirect channels, and from internal or external sources.

The purpose of this Policy is to express the Bank's position and zero-tolerance on any form of bribery and corruption among its employees and third party associates, and provide guidelines aimed at:

(i) Ensuring compliance with local anti-bribery laws, rules and regulations, along with laws and regulations of the countries with whom it conducts any form of business.

(ii) Enabling Bank employees and business associates to understand ABC risks, and to implement the required measures to prevent bribery and corruption while ensuring commitment to high behavioral and ethical standards when conducting day- -to day operations.

(iii) Creating and maintaining a rigorous and effective framework for dealing with any suspected instances of bribery or corruption.

(iv) Providing safe and secure reporting and communication channels, encouraging any employee to report any wrongdoing, whether by themselves or others, and

ensuring that any reported information is properly and effectively received and dealt with.

III. Scope

This Policy shall be reflected in the Bank's relevant procedures, and made available on the Bank's intranet to all Shahba Bank staff, and shall apply to all employees, officers, and directors of the Bank, in its entirety. It also applies to any individual or corporate entity associated with the Bank or who performs functions in relation to, or for and on behalf of the Bank, including, but not limited to, seasonal employees, contractors, consultants, agents, suppliers and sponsors (referred to as "associated persons").

This Policy shall be reviewed and updated when deemed necessary, and in conjunction with the dynamic changes in relevant laws and practices.

IV. Policy Objectives

1. The objective of the ABC Policy is to clearly, communicate to all employees and all relevant third parties the Bank's zero-risk appetite towards any act of bribery and corruption committed by any of its stakeholders, protecting it from any financial and / or reputational damage. The tone set at the BOD's level is that bribery will never be acceptable, and that the Bank will operate in an environment that encourages accountability, detects and discourages any form of bribery/corruption.

2. The ABC policy lays the ground for organizational measures that are necessary for fighting corruption and bribery, and promoting ethical principles within the Bank. In this respect,

roles and responsibilities of each business and control function at the bank shall be determined and further elaborated in section V.

V. Governance Framework

Promoting an ethical culture is the responsibility of all within the organization; burden relies especially on the Bank's middle and upper managers to lead by example. Areas that are more concerned than others in disseminating the ABC policy shall include:

3. Board of Directors , General Manager and the Audit Committee shall constantly communicate the Bank's zero-tolerance approach towards corruption and bribery, they shall also:

    - Ensure the bank has the proper guidelines, policies and procedures to detect and prevent corruption and bribery throughout the organization.
    - Ensure that there is an independent review and audit for compliance with the bank's ABC policy, review investigated cases along with recommendations raised by Internal Audit, and decide on appropriate disciplinary measures.

4. Business Owners have the ultimate responsibility, each within his/her area, to foster a highly ethical culture. Business Owners, shall:

    - Require their employees to adhere to high standards of integrity and honesty at all times.
    - Evaluate potential bribery/corruption risks in day-to-day activities and recommend necessary corrective measures to their higher authorities.
    - Ensure that their employees strictly adhere to the Bank's Code of Conduct.

- Monitor and report any conflict of interest an employee might have with a contracted party.
- Prevent and report any employee that might be soliciting or accepting bribes for his/her own benefit or to the benefit of his/her family, friends, associates or acquaintances. Offering special treatments to a particular client or exhibiting excessive hospitality that are not commercially justified are red flags that need to be attended.
- Reject receipt of any gifts, hospitality or offer from a third party to cover expenses, whenever they could influence or reasonably be perceived to influence improperly the outcome of business transactions. In all cases, acceptance of gifts and business entertainment must be in accordance with the Bank's approved limits.
- Report and investigate on any customer complaint that relates to the behavior of an employee.

5. Human Resources plays an active role in recruiting and retaining the right staff who possess the appropriate skills, knowledge and expertise in their field in order to carry out their functions effectively, and who shall be remunerated in a fair and transparent way. Recruitment shall favor employees that are looking to build a long-term career within the Bank as opposed to short-term or seasonal employment, while promotion and advancement of existing staff shall take into account employee's engagement towards the Bank's corporate culture, business ethics and values. HRD shall also:

    - Maintain relevant policies/procedures covering Code of Conduct, Gift Acceptance and Whistleblowing.

- Establish communication and training strategies for disseminating ethical awareness and consciousness throughout the organization.
- Ensure that all employees behave in accordance with the guidelines of the Bank's Code of Conduct.
- Develop robust recruitment and selection processes, including background screening of candidates.

6. Operational Risk Management (ORM) shall:

- Review/challenge the ABC risk assessment conducted by business owners in relevant procedures.
- Highlight the relevant risks before any new product launching or upon introduction of a new line of business that significantly differs from the bank's existing business model or existing business channels.
- Ensure that effective ABC control measures apply as when reviewing Risk Control Self-Assessment (RCSA) over the Bank's different business areas, and ensure that controls are commensurate with the risk levels posed by each identified stakeholder.
- Conduct root-cause analyses in relation to incidents and near misses.

7. The Compliance function shall provide regular reports to the Board audit Committee on the proper functioning of the ABC program, enabling it to provide oversight and feedback on the efficacy of subject program. The Compliance Department shall act as a point of reference in planning and designing common ABC programs across subsidiaries and foreign branches. The Compliance Department shall also facilitate the sharing of

information between entities of the group that is necessary to increase the capacity of each in combating bribery and corruption.

8. Internal Audit shall perform an independent audit on the implementation of the Bank's ABC policy in assurance of its consistency, the adequacy of its risk measures and controls, and the level of adherence to its conditions. The Bank shall make use of audit findings to correct deficiencies in procedures and enhance controls. Internal Audit is also in charge of investigating cases of misconduct, including bribery and corruption cases, and raise its findings to the Audit committee through audit reports. The Head of Internal Audit and the Head of Investigations (if any) shall also be the designated recipient of any Whistleblowing report.

VI. Corrective Actions

9. Any breach of the provisions of this Policy shall constitute a disciplinary offence, further handled in accordance with the Bank's applied disciplinary procedures.

10. As for its employees, and depending on the gravity of the offence, any breach of this policy may be treated as gross misconduct and could render any employee with proof of wrongdoing, liable to dismissal or legally prosecuted depending on the case

11. As for its associated persons and third party contractors, any breach of this policy may lead to the suspension and / or termination of any relevant contract, sub-contract or other agreement